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What are the alternatives to the SWIFT payment system?

Why are countries looking beyond SWIFT? How are CIPS, SPFS and mBridge faring?

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The story so far:

The New Delhi Declaration that came out of the recent BRICS Summit in the National Capital resolved to increase trade between member-countries and payments in national currencies. Days before the summit, a report by the news agency *Reuters* quoted sources as saying that at the event, India would push to link central bank digital currencies (CBDCs) for cross-border payments across BRICS nations, despite political and technical hurdles that could limit progress. The proposal to link CBDCs would be part of the agenda for the leaders' meeting, the sources said, though the limited adoption of digital currencies globally could complicate implementation, the report added. The proposal was, however, not part of the Declaration.

Multiple wars and U.S. weaponisation of the dollar through financial sanctions are making countries in the Global South

think of bypassing the so-far universally accepted Belgium-based SWIFT system for inter-country payments. The attempts to do so have been patchy, but there is an increasingly felt need to have other options.

What are some of the alternatives to the SWIFT payment system?

Project mBridge is a group comprising the Bank of Thailand, the Central Bank of the United Arab Emirates, the Digital Currency Institute of the People's Bank of China, the Hong Kong Monetary Authority, and the Saudi Central Bank.

The Cross-Border Interbank Payment System (CIPS), a *Reuters* report said, is backed by the People's Bank of China. China launched the CIPS clearing and settlement services system in 2015 to internationalise yuan use. It allows global banks to clear cross-border yuan transactions directly onshore, instead of through clearing banks in offshore yuan hubs, the report said.

The System for Transfer of Financial

Messages, or SPFS, was developed by Russia in 2014 to bypass Western sanctions. In 2022, Russian banks were cut off from SWIFT, and the SPFS was of help.

SEPAMA, Iran's local interbank telecom system, has as many as 52 branches of Iranian banks and four unnamed foreign banks connecting with 106 banks using the SPFS, the Central Bank of Iran said in 2023.

How are these systems faring?

The Bank for International Settlements (BIS), an international financial institution owned by central banks to foster international monetary and financial cooperation, exited Project mBridge on October 31, 2024, after hand-holding it since 2019, when the Hong Kong Monetary Authority and the Bank of Thailand launched the system. The mBridge, a cross-bloc multi-CBDC platform with no Western bank, attained minimum viability status in 2024. It was envisaged for direct peer-to-peer CBDC

settlement without going through correspondent banks. The project team developed a new blockchain – the mBridge Ledger – custom-built by central banks to serve as a specialised and flexible platform for implementation of multi-currency cross-border payments in CBDCs, the BIS website says.

The BIS's exit came under a cloud, with media reports saying it was because mBridge could provide the basis for a BRICS initiative to circumvent sanctions on Russia. A May 2016 *Forbes* report said that by late 2025, mBridge was in practice “a renminbi-denominated wholesale settlement rail for trade between China and the Gulf, running outside the dollar correspondent system”.

The renminbi's inclusion in the basket of currencies making up the Special Drawing Right, an international reserve asset created by the International Monetary Fund, has increased the acceptance of CIPS, said a November 2025 opinion piece in *The Hindu* by Biswajit Dhar, a trade economist and former professor at Jawaharlal Nehru University. The CIPS now has participants in more than 120 countries, including all BRICS members except India.

A *South China Morning Post* report says CIPS processed 679.8 billion yuan of transactions on average per day in 2025. “While the CIPS has gained ground, it remains far smaller in scale than established global systems, such as the U.S.-based Clearing House Interbank Payments System,” it said. Beijing now

appears to be moving towards building CIPS into a global platform compliant with multi-currency settlements and other foreign payment channels, the report quoted a study led by Ju Jiandong, a chair professor at Tsinghua University's PBC School of Finance.

The SPFS, formed as Russian entities were banned from SWIFT, has grown at a record pace in 2023 as Moscow ramped up efforts to resolve financial shortcomings wrought by sanctions over the Ukraine war. Alla Bakina, director of the Russian central bank's national payment system department, said 50 new entities joined Russia's alternative system in 2023, taking the total to 440, of which more than 100 are non-residents.

How do India-Russia trade settlements happen now?

Russia and India, the second-largest importer of Russian oil, have built a functioning payments infrastructure using roubles and rupees, which now account for 96% of bilateral trade, Ivan Nosov, head of Sberbank in India, said. “I am ready to say that this is one of the best-established mechanisms for Russia's payments with other countries,” he said.

According to official data, 22 Russian banks, including Sberbank, Russia's largest lender, which was tasked with developing the payments infrastructure, and 17 Indian banks are currently servicing bilateral trade, a *Reuters* report said.

CIPS (Cross-Border Interbank Payment System)

SWIFT (Society for Worldwide Interbank Financial Telecommunication)

SPFS (System for Transfer of Financial Messages)

BIS Bank for international settlements

Policing the line between publicity and justice

Within minutes of an arrest anywhere in India today, a face – handcuffed, flanked by policemen, sometimes garlanded with placards cataloguing the crime – starts circulating on social media, often before the accused is produced before a magistrate. A Supreme Court of India PIL seeking a nationwide media protocol/police media briefings has forced a question that Indian policing has quietly avoided: under what law do we do this, should we do it, and where should it stop?

Photographs of wanted persons and reward notices have solved crimes, helped recover missing children, and brought fugitives to book years after trails went cold – the public, alerted, has done what a thinly stretched police force alone could not.

The justification is strong; the legal architecture is weak. What is needed is a clear legal basis, not a habit inherited from mere precedent.

Current law and practice

No single statute permits or prohibits police from publishing photographs of accused persons.

What exists is a patchwork of colonial-era regulations, an identification statute and the general architecture of criminal procedure.

Section 84 of the Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023 (Section 82 of the Code of Criminal Procedure or CrPC) allows courts to proclaim absconders and publish proclamations in newspapers. It says nothing about photographs, but attaching one has become settled practice because it serves the purpose of securing the person's appearance. This judicial process is triggered only after a warrant fails; it does not, however, provide a basis for publicity at the investigation stage.

Publication at the investigation stage rests instead on the general powers of an investigating



Rupin Sharma

IPS officer who is the Director General of Police, Nagaland

Before releasing the photograph of a person accused, arrested, but not yet tried, police must ask whether the investigation requires it

officer (Io): every person must assist the police in preventing and investigating offences, and an Io may examine anyone with relevant information. Publishing photographs on social media to solicit identification, trace absconders or find witnesses is a digital-age extension of the old “Hue and Cry Notice”, in State Police Manuals – provisions that predate Independence and whose language (“description of the subject”) is broad enough to plausibly cover photographs and rewards.

Reward announcements stand on firmer, narrower ground, typically governed by State Police Regulations under the Police Act, 1861, which vest sanctioning authority in a hierarchy ranging from the Station House Officer (SHO) to the State government. No prior warrant or proclamation is required; it is an exercise of administrative discretion, not a judicial precondition. The Criminal Procedure (Identification) Act, 2022, governs the taking, storage and use of measurements – including photographs – for identification, but is often wrongly cited as enabling their publication. It says nothing, however, about circulating them.

Constitutional limits

Article 21, jurisprudence has sharpened, not softened. Presumption of innocence remains central to criminal justice, and courts increasingly recognise that broadcasting an arrested person's face as a fait accompli of guilt, before any charge is framed can cause real, irreversible harm. The Rajasthan High Court termed such practices “institutional humiliation” digital circulation is permanent, searchable and indifferent to later acquittal.

The Bureau of Police Research and Development prepared a draft manual on media briefings by police personnel and shared it with the Ministry of Home Affairs in July 2024. In January 2026, the Supreme Court said the *amicus*

had prepared a Police Manual for Media Briefing and directed the States to evolve appropriate policies based on it within three months. Some categories are already absolute red lines: a juvenile in conflict with the law cannot be identified except in the child's best interest and with the Juvenile Justice Board's permission; a sexual assault survivor's identity is protected by law. The intriguing debate concerns the ordinary adult – accused, arrested, but not yet tried.

The distinction that matters

Publication sits on a scale: at one end, legitimate investigative necessity – crime prevention, public order and law-and-order purposes; at the other, the showcasing of police achievements. Photographs released merely to showcase arrests serve police optics at the accused's expense and can prejudice public opinion before trial.

American law treats “wanted” notices as public-record exceptions to privacy law, but agencies are trained to frame them carefully – “alleged,” “wanted for questioning” – to preserve the presumption of innocence even while seeking help. British policing, more conservatively, withholds arrested persons' identities altogether.

What is needed is not an outright ban on soliciting public assistance – that would be legally unwarranted and self-defeating – but a codified, uniform national protocol that distinguishes proportionate, need-based disclosure from prejudicial publicity; mandates blackout categories such as juveniles and sexual-offence complainants; requires time-bound review and takedown once the investigative purpose is served or an accused is discharged or acquitted; and applies uniformly across States.

One question before any photograph goes out could be a beginning: is the disclosure necessary to the investigation, or merely convenient to the narrative?

Presumption of innocence
Media trials
Art 21- privacy

Police Act 1861
The criminal procedure (Identification) Act, 2022
Section 84 of the Bharathiya Nagarik Suraksha Sanhitha (BNSS), 2023

Institutional humiliation

Codified uniform national protocol

Should permanent membership, veto powers of the UNSC be abolished?



Amitabh Mattoo
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Swaran Singh
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PARLEY

In the ongoing session of the UN General Assembly (UNGA), France has made a proposal to enhance the functioning of the UN, especially in dealing with collective security and the use of veto. France has been advocating that the use of veto in the UN Security Council (UNSC) be "regulated" when it comes to dealing with humanitarian crises such as in Sudan, Lebanon or in cases of genocide. France believes that the use of veto is not a matter of "privilege" but of "responsibility". So, should permanent membership and veto powers of the UN Security Council be abolished? Amitabh Mattoo and Swaran Singh discuss the question in a conversation moderated by Kallol Bhattacharjee. Edited excerpts:

Is it realistically possible to imagine an UNSC where veto would be "regulated" as the French proposal suggested?

Amitabh Mattoo: What Emmanuel Macron (President of France) articulated in the UNGA on September 22 is not entirely new. What we are seeing is really a renewed push behind what used to be called the French-Mexican initiative, first launched in 2015, under which permanent members of the SC would voluntarily refrain from using the veto in situations involving genocide, crimes against humanity, and large-scale war crimes. It's not an attempt to abolish the veto or amend the UN Charter. It's essentially an exercise in self-restraint by the P5 (permanent members of the UNSC: U.S., U.K., France, China and Russia). What gives the initiative fresh significance is not just Mr. Macron's speech, but the political momentum behind it. France and Mexico both announced this week that 128 states now support the declaration, with 21 joining in the last four months. And the significant part is that the U.K., another P5 country, has now joined France in accepting the principle.

So for the first time, two of the five permanent members have committed themselves to this form of voluntary restraint.

But I think we should also distinguish between three different questions which are often conflated – the use of the veto, accountability for the use of the veto, and the much larger question of reform of the Security Council. Mr. Macron's initiative addresses only the first. It says in effect, even if the veto remains, surely there must be circumstances of exceptional human suffering in which a permanent member agrees not to exercise it. It is, as I said, a modest incremental proposition institutionally, but potentially significant



A general view of the UNGA in New York City, U.S., on September 22, 2023. REUTERS

normatively in terms of what we want the world to be like. It seeks to change the political behaviour of the five permanent countries without undertaking what seems to be the almost impossible task of rewriting the Charter. So, it's a modest proposal and it has got some momentum, but whether it translates into reality, we'll have to wait and see.

Does the current situation in UNGA indicate that the P5 is now divided between the France-U.K. and Russia-U.S.-China factions on the use of veto?

Swaran Singh: Clearly, the U.K. and France are not the heavyweights among the P5. Therefore, I think it is easier for France and the U.K. to make that principled position saying that the P5, which wield veto power, should be able to better regulate or manage how fundamentally the power is utilised; to make sure that the UNSC is able to take action and that it does not get paralysed. In fact, the contradiction of 2013 itself was driven by the fact that in the civil war in Syria, Chinese and Russian vetoes were making it impossible for the UNSC to pass any resolution condemning Syria. After the August 2013 chemical weapons attack in Ghouta in September, the then French President Francois Hollande had in his speech proposed a 'code of good conduct' for the UNSC. This is where, for the first time, a kind of proposition was made that the P5 could voluntarily restrain the use of veto in cases of genocide, crimes against humanity or larger war crimes. I think the attempt was to skirt amending the UN Charter and still make it much more contemporaneous. None of the P5 are talking of eliminating veto power that they have. There are multiple versions among the five as to how they wish to reform the UN Security Council.

As an ideal, we believe that we live in a world



As an ideal, we believe that we live in a world of sovereign equality, but in reality, because of the way power is distributed, it is impossible for any international organisation to survive – not just become effective – but even survive if they happen to take a decision against any of the major powers

SWARAN SINGH

of sovereign equality, but in reality, because of the way power is distributed, it is impossible for any international organisation to survive – not just become effective – but even survive if they happen to take a decision against any of the major powers. Incidentally, veto is not a word mentioned in the UN Charter and it was created through a separate mechanism. But the premise is that any international organisation must not take a decision against the fundamental interests of any major power if they wish to survive.

While doubts persist about the veto, the question is will veto continue to be extended to new members of the UNSC whenever they are inducted?

AM: Apart from Mr. Macron's or the French-Mexican initiative, there have been incremental reforms which fall short of trying to amend the UN Charter. There was an earlier Liechtenstein initiative, which was adopted by the UNGA in 2022, which took a different route. It did not prevent a permanent member from exercising the veto. Instead, whenever a veto was cast, the General Assembly would be convened within 10 working days to debate the issue. In other words, a veto will no longer be allowed to simply terminate the conversation. The permanent member concerned would have to explain and defend its action on the floor of the UNGA. That was one initiative which was passed by the UNGA. A third initiative, also similar to the French-Mexican initiative, is the 'ACT code of conduct' or the Accountability, Coherence and Transparency Initiative. This goes beyond the P5 and asks members of the Security Council, including the non-permanent members, not to vote against credible action designed to prevent or halt genocide, crimes against humanity and war crimes.

Again, its strength is moral and political rather than legally coercive.

So I would resist the debate as being simply 'retain or abolish the veto'. We now have several overlapping approaches – abolition, extension of the veto to new permanent members in the name of equality, voluntary restraint in case of

mass atrocities, political accountability after a veto is exercised, and the final question of broader structural reform of the Security Council itself. So my own analytical conclusion would be that Mr. Macron's proposal matters precisely because it is pragmatic; reformist rather than revolutionary. Formal abolition of the veto would ultimately require charter amendment and the consent of the very permanent members whose privilege is being removed.

Can you please explain the issue of accountability in the debate on veto?

AM: Short of an amendment of the UN Security Council; an amendment of the veto provisions; or the larger restructuring of the UN Security Council, I think there is great merit in the 'Liechtenstein initiative', whereby the debate would continue within the UNGA. It would not prevent or terminate the conversation from happening in the floor of the UNGA, where the permanent member which has exercised the veto would have to clearly demonstrate to the members of the UN what the reasons were behind the exercise of the veto, especially when it has vetoed an action designed to prevent or halt genocide or crimes against humanity.

Calling upon the permanent member to explain and defend its actions would not necessarily prevent anything when there is real national self-interest at stake, but at least it will make the permanent members, one of the P5 countries which has exercised the veto, become a little more cautious in the use of its power because it would know that it would need to justify and become accountable for its action.

Is the French proposal transparent or honest about the framing of certain conflicts that are going on such as the Israeli campaign in the Gaza Strip?

SS: I think words such as honesty and justice are most misused in international relations. There is no doubt that all the UN members, whether they are in the Security Council or in the General Assembly, come to the world's largest platform with their own interpretations, with their own understanding of each of these conflicts that you just listed. So in that sense, there is this important difficulty of word versus the spirit of various international law regimes or the Charter of the United Nations.



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French-Mexican Initiative
Veto self restrain
Genocide, Crimes against
Humanity, Large scale
war crimes

P5 UNSC: US, UK,
Russia, China, France

Liechtenstein initiative

Act code of conduct-
Accountability, Coherence
and Transparency
initiative

'Enemy state' in UN charter: What is it, why Japan wants it removed

Abhinav Chakraborty
New Delhi, September 24

IN HER address to the United Nations General Assembly (UNGA) on Tuesday, Japan's Prime Minister Sanae Takaichi called on the UN to remove references to "enemy states" in its Charter. Both China and Russia have used the label recently to attack Japan's plans to ramp up its defence spending.

What UN Charter says

The UN Charter, which came into force in the immediate aftermath of World War II on October 24, 1945, contains numerous references to "enemy states".

Paragraph 2 of Article 53 defines "enemy state" as "any state which during the Second World War has been an enemy of any signatory of the present Charter". This referred to WWII's defeated Axis Powers — Germany, Italy, and Japan — and their allies.

The victorious Allied Powers (the US, the UK, and the Soviet Union) viewed this as a mechanism to counter the re-emergence of militarism and fascist politics in "enemy states" without having to seek recourse to the UN Security Council (UNSC).

Article 107 allows the Allied Powers the legal right to take enforcement actions (including the use of military force) against the "enemy states" without needing prior UNSC approval — an exception to the general rule requiring UN approval.

PRESSURE ON TOKYO

● China has restricted access to rare earth magnets that Japanese firms need for manufacturing. The Chinese military has conducted drills close to Japan.

● Russia has engaged in similar military exercises. In August, Takaichi criticised Russian President Vladimir Putin's visit to the disputed southern Kuril Islands.

— the US, the UK, France, Russia, and China — can veto any measure. "The problem with a UN Charter Resolution is that it needs all five permanent members to approve it in their national capacity — not just in their votes in the General Assembly but they must also ratify it back home," Manjiv Singh Puri, former Indian ambassador and Deputy Permanent Representative to the UN (2009-12), told *The Indian Express*.

According to him, the clauses have been in a "moribund situation" since 1995 but they remain a talking point in domestic politics, especially in Japan. "Another reason why the clauses have not been dropped is that Japan continues to host US troops on its soil," Puri said.

There are also concerns among the Big Five that any revision in the Charter's language could lead to further demands such as reforming the UNSC, which would diminish their influence. Takaichi's UNGA address also pushed for deletion of the clauses as part of a larger appeal for reform of the UN and specifically the UNSC.

Increasing hostility

Takaichi's comments come on the back of rising hostilities with China and Russia, who have been exerting economic and military pressure on Japan.

In the case of China, matters escalated after Takaichi indicated last November that Japan could intervene militarily if China were to attack Taiwan. Although Taiwan calls itself a self-governed democracy, China has long considered it part of its territory. Russia, too, has engaged in military exercises close to Japan.

The diplomatic rhetoric employed against Japan has also referred to these "enemy state" clauses. China has said that the clauses serve as a safeguard of the postwar international order, whereas Russia has argued these clauses invalidate Japan's claims in their territorial dispute over the southern Kuril Islands.

UN charter- enemy states

WW2 defeated axis powers- Germany, Italy and Japan

Victorious allied powers US, UK, Soviet Union



Thank you

“The price of success is daily effort”



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